

INTERIM STATEMENT TO SHAREHOLDERS GROUP UN-AUDITED RESULTS FOR THE SIX (6) MONTH PERIOD ENDED 30TH JUNE 2023

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2023

	Unaudited Jun-23 KShs'000	Audited Jun-22 KShs'000
Revenue	2,757,062	2,527,246
Cost of sales	(1,908,496)	(1,979,686)
Gross profit	848,566	547,560
Net other income	62,425	31,932
Operating expenses	(766,431)	(760,894)
Loss/profit from operation	144,560	(181,402)
Depreciation, amortisation & impairment	(129,712)	(240,663)
Forex losses	(942,374)	(175,947)
Interest expenses	(683,282)	(591,177)
Loss before income tax	(1,610,808)	(1,189,189)
Income tax (charge)/credit	(56,584)	67,165
Loss for the year	(1,667,392)	(1,122,024)
Total other comprehensive income net of income tax	(120,776)	171,018
Total comprehensive loss	(1,788,168)	(951,006)
Loss after tax is attributable to:		
Equity holders of the company	(1,647,887)	(1,028,035)
Non-controlling interest	(19,504)	(93,989)
Loss for the year	(1,667,391)	(1,122,024)
Total comprehensive income for the year attributable to:		
Equity holders of the company	(1,759,095)	(962,513)
Non-controlling interest	(29,072)	11,504
Total comprehensive loss for the year	(1,788,167)	(951,009)
Basic and diluted earnings per share - KShs	(1.46)	(4.14)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2023

	Unaudited Jun-23 KShs'000	Audited 31 Dec-22 KShs'000
ASSETS		
Non current assets	8,001,731	7,870,412
Current assets	5,766,832	4,636,690
Total assets	13,768,563	12,507,102
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	564,014	187,601
Share premium	2,324,784	1,873,089
Reserves	(16,025,382)	(14,266,287)
Non-controlling interest (NCI)	299,365	328,437
Non current liabilities	5,327,239	5,006,095
Current liabilities	21,278,543	19,378,167
Total equity and Liabilities	13,768,563	12,507,102

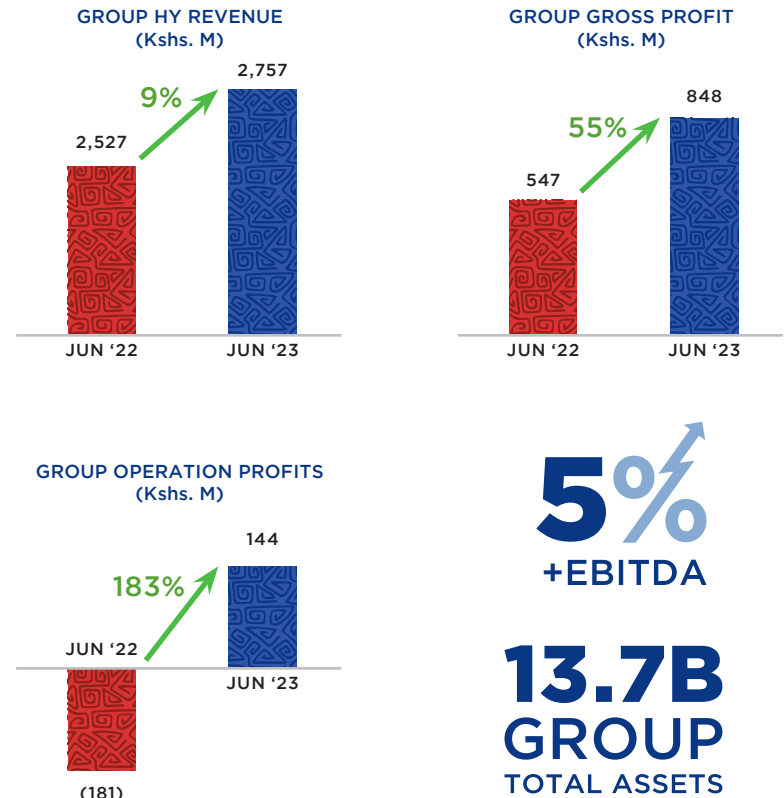
CONSOLIDATED STATEMENT OF CASHFLOWS AS AT 30 JUNE 2023

	Unaudited Jun-23 KShs'000	Audited Dec-22 KShs'000
Cash generated (used in) operations	(657,956)	(485,261)
Income tax paid	-	(106,042)
Net cash flows used in operating activities	(657,956)	(591,303)
Net cash flows (used in)/from investing activities	(9,975)	182,671
Net cash flows generated from financing activities	1,023,488	406,386
Net decrease in cash and cash equivalents	355,557	(2,246)
Cash and cash equivalents at the beginning of the year	110,205	112,451
Cash and cash equivalents at the end of the year	465,762	110,205

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR SIX (6) MONTHS PERIOD ENDED 30TH JUNE 2023

	Unaudited Jun-23 KShs'000	Audited Dec-22 KShs'000
Share capital	564,014	187,601
Share premium	2,324,784	1,873,089
Reserves	(16,025,382)	(14,266,287)
Total Attributed to equity holder company	(13,136,584)	(12,205,597)
Non- controlling Interest (NCI)	299,365	328,437
Total equity	(12,837,219)	(11,877,160)

HALF YEAR 2023 GROUP FINANCIAL HIGHLIGHTS



NOTES TO THE UN-AUDITED SUMMARY CONSOLIDATED FINANCIAL STATEMENTS

TransCentury PLC ("TC" or the "Group") is pleased to announce its un-audited financial results for the six (6) month period ended 30th June 2023 ("HY-2023")

Key Highlights.

The Group recorded a 9% year-on-year revenue growth, driven by strong demand for TC Group products and services, building on the momentum achieved in 2022. Gross profit grew by 55%, reflecting improved margins and growth in the topline. The business has achieved Kshs 145 million in profit from operations, marking a return to operational profitability in line with our strategy. However, foreign exchange losses due to the depreciation of regional currencies against the US Dollar negatively impacted the Group's overall performance.

The Group has achieved a significant milestone by returning to operational profitability and continues to work on mitigating external impacts, including reorganising foreign denominated debt to alleviate forex losses, to achieve a positive bottom line.

Dividends

The Board does not recommend an Interim dividend payout.

Outlook

Guided by TC's 4-year strategy plan, "Ahidi +32% 2022-2025", we have made significant progress in our journey towards returning to profitability. During the period, the Group launched a fundraising initiative, in addition to ongoing internal restructuring of the Company to strengthen the balance sheet, divestiture from identified investments, and sale of non-core assets.

The Group continues to find innovative solutions to deliver growth and profitability, including diversification, cost optimization, and effective treasury operations.

In the reporting year, the Group experienced operational disruption after the appointment of receivers by a lender. The Group successfully obtained injunctive relief, allowing the business to continue its operations as the proceedings continue in Court. We are however limited in delving into the merits of the case due to *sub-judice* rules.

The Board and Management are committed to honouring our obligations and are engaging various stakeholders to find an amicable solution.

TC Board and Management remains committed to delivering superior and sustainable value to all stakeholders.

By Order of the Board
Virginia Ndunge
Company Secretary
31 May 2024